

Jefferies West Coast Consumer Conference

Company Participants

- Edwin F. Negron-Carballo, Chief Financial Officer
- John Fieldly, Chief Executive Officer

Other Participants

- Kevin Grundy, Analyst, Jefferies

Presentation

Kevin Grundy {BIO 16423871 <GO>}

Good afternoon everyone and welcome to Jefferies West Coast Consumer Conference. we're looking forward to returning to an in-person format next year for sure. My name is Kevin Grundy, Jefferies' US HPC Beverages Analyst and we're very pleased to welcome the mentioned team from Celsius Holdings, including John Fieldly, CEO; and Edwin Negron, CFO. John and Edwin have been instrumental in driving Celsius' momentum in the fast growing energy drink category with the company competes against entrenched incumbents like Monster and Red Bull.

While Celsius has played a key role in growing the performance energy subcategory in the industry, the brand reaches far beyond workout enthusiasts which has helped drive the company's recent market share momentum and industry-leading growth. As always point is discussed, in the energy drink categories we're very pleased that John and Edwin are able to join us. The format today will be a fireside chat, which I will moderate. So again, gentlemen, thank you very much for joining us. We do appreciate it.

John Fieldly {BIO 17560616 <GO>}

Yeah, glad to be here. Kevin. Thank you and we'll be happy Jefferies putting this together as well. Thank you.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you, Kevin.

Kevin Grundy {BIO 16423871 <GO>}

Fantastic. I wanted to start, John, and then I want to devote the large (technical difficultly) to the tremendous momentum that you're seeing in the business. However, before we do that, I did want to give you the opportunity, John, to address some of

the market's concerns around the subpoena that the company received on August 20th from the SEC for production of documents in relation to potential violations of federal securities laws. What if anything, can you tell us about that?

John Fieldly {BIO 17560616 <GO>}

Yeah, Kevin, we did receive a subpoena from the SEC, a general inquiry. The company is fully cooperating. It is confidential, so we are not able to talk about specifics of it unfortunately, but I can assure you the company is fully cooperating. We're going to go through this and hopefully get some resolution to this fairly quickly. As I can say is, we feel it doesn't affect -- it will not affect our current operations, our future operations, and the opportunities that we see ahead of us with the company. So, I think that's demonstrated as well in our Q3 financials and some of the highlights that we're going to talk about as we go forward. But this happens. This is my understanding of the responsibility and we're going to fully cooperate as a company.

Kevin Grundy {BIO 16423871 <GO>}

Got it. Thanks John. John, anything that you can box in or sort of level set in terms of geography or timing or materiality with respect to this, or have you gone as far as you can go in terms of sharing information on this?

John Fieldly {BIO 17560616 <GO>}

General inquiries cover a variety of questions, I'm told by our attorneys and specifics, in regards to request by the SEC not to disclose the confidentiality of the subpoena. Unfortunately, we're required to disclose that we did receive a subpoena, so I understand the difficulties with that as they are investors, but like I said, unfortunately you can't say much, but we're confident in our current operations and future opportunities that the company has that we continue to execute as an organization and a team.

Kevin Grundy {BIO 16423871 <GO>}

Okay. Very good. We'll leave it there, that piece, John.

Let's assume out a little bit just on broader energy drink landscape, which has seen a lot of change probably over the past few years or so now and no small part to Celsius other performance energy brands and the impact that they've had on the category, which really had not seen a lot of disruption really for over two decades. Maybe talk a little bit about that. Both of you, how you've seen the category evolve; talk a little bit about the uniqueness of Celsius and its positioning in that proverbial right to win in this category.

John Fieldly {BIO 17560616 <GO>}

Great question, Kevin. I mean -- It is interesting, the last decade has been dominated by two major incumbents and brands. Just like the whole world has been disrupted, seems like food and beverage in general in all categories is going through a phase of disruption; from the meat categories to some of the dairy products that we have and most recently right now in the space we operate in is the energy category. You're seeing a variety of disruptions. The consumers of the category today are different than the consumers to the category yesterday. It is better for you, trend has been underlying healthier functionality. We are a lot more functional in the foods we consume and what we consume in beverages as well, and Celsius offers that. We're not just your typical energy drink. We have other benefits, other features. We're hitting on all the ingredient health and wellness trends with seven essential vitamins. And fitness is in our core; living healthy, living an active lifestyle. And that radiates not through just one consumer set, not through male or female. These are universal really trends that are underlying and which is helping Celsius go more mainstream than we ever have before.

You're talking to us three years ago -- four years ago, mainly in the gyms, health club, specialty sets. And today with the broad -- the way Celsius is connecting with consumers in a meaningful way, we are aligned with today's mainstream consumer base looking to live a healthier and active lifestyle. Celsius lives fit. It's energy for life, essential energy for life and that's really what's been really resonating well with consumers.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

I would add to that, if anything, the current environment will magnify those trends; you maintain a healthy lifestyle and that's what we're promoting and our brand stands for it as well.

John Fieldly {BIO 17560616 <GO>}

It's in our DNA.

Kevin Grundy {BIO 16423871 <GO>}

Let me ask you -- thank you, guys. Let me ask you both, how do you try to maintain the uniqueness and differentiation within performance energy -- with energy more broadly. And I guess for context, sometimes in speaking with investors, the fear is do you get this segmentation within performance energy. Does it sort of go the way of hard seltzers where there is just sort of brand rush into the category from a lot of different, large scaled competitions, some of which you know the Cokes and even the Pepsis, and even your friends at Bank get involved with the category and it just became very competitive very quickly. Maybe you could just comment on that; the potential risk segmentation within performance energy and how you plan to compete, how you plan to stay different and unique to the consumer.

John Fieldly {BIO 17560616 <GO>}

I think when you think of just performance energy, that is more or less a subset of the category. If you go back to 2019, that was really the talk about how performance energy was going to disrupt the category, but it's -- we're a little bit broader than that. We're really performance energy mix traditional energy. We're literally going after this healthy wellness lifestyle and it's much broader than just the performance energy peers for your next set of the gym. It's that next meeting. It's your afternoon pick-up. We're seeing the usage occasion with our CELSIUS portfolio to really expand. And then you look at the competition in the fragmentation. The energy category, I mean, as always had all new players come into the market, each and every month and every year. It's been really hard to dominate. You look at some of the larger income. You look at Cokenergy trying to get into the energy space. You've got Mountain Dew. You've got a variety of these other larger, well known national brands, global brands, trying to get into the space and just haven't been able to be as successful versus the fragmentation that you saw with the Spiked Seltzer category, like Corona, and Michelob Ultra type resonating there. So, quite interesting.

Talk about loyalty. When you look at the Spiked Seltzers, it seems that the loyalty -- on the brand loyalty, there is a lot of shifting that takes place within that. I'm not sure. I think we all have a lot to learn from that that loyalty and really how to build that loyal consumer. And one thing that we know about Celsius, the Celsius portfolio is performing extremely well and we have a really loyal consumer base. Recurring purchases are extremely high. The continuity -- So that's one thing that sets us apart I think from some other competition that are maybe just changing on promotional strategies. We saw this with functional waters as well. When you look at the premium water category, you saw consumers really moving it. It was very promotional driven and where the ships on the consumers want the brands. One thing we see we have an extremely loyal consumer, that I think differentiates us. But competition will come; it will continue to come, especially in this category which is growing at a fast rapid growth. In the category, you are looking at high category growth rates. It has continued to perform extremely well. We feel the energy category will continue to perform for years to come.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

And, John, I think the best example and you've always mention this, loyalty is during COVID, our customers went and through Amazon to order a product, to wait for it to come to the door, to chill it and then consume it. That for us translates into a lot of brand loyalty from that perspective. And I know you --

John Fieldly {BIO 17560616 <GO>}

I think that's a really interesting component. Every brand talks about their brand loyalty, but when you look at our sales -- go back two years, a lot of our sales were warm. So that's a real loyal consumer to pick up a warm beverage; buy a 4 pack, 8 box, or maybe a 12-pack of Amazon for \$25 to \$30, take it home, chill it and drink it as part of a daily routine and daily lifestyle. So, I think that just goes to show you anecdotally the opportunity that we have at this loyal consumer base that is part of the Celsius' family.

Kevin Grundy {BIO 16423871 <GO>}

Got it. I wanted to take a step back. For those listening that may be less familiar with the story, they may not know that the brand has been around for more than a decade, but yet the -- I know you guys are well aware that because the company's success here in recent years has been remarkable. What I wanted to ask is the organization and the capacity to handle this growth. With this great success and the rapid growth, there is -- you have to keep up from a capacity perspective, human capital, financial capital, distribution, from a systems perspective. I was hoping you could just comment on how the Board and the organization is managing this risk while it concurrently is able to lean in on this big opportunity in this rapidly growing category.

John Fieldly {BIO 17560616 <GO>}

If you go back even -- like you said, we've been around for a while and over the last -- really, if you go back to North American (inaudible) sales have been growing at a -- prior to this year, at a 50% growth rate. So we've had really good growth rates going back the last 5 to 6 years, it's been a company and it's really balanced. We've taken a balanced approach as we see more opportunity, as we see more revenue coming in. We've been investing along the journey. It's a balancing act and right now with the rapid growth we're seeing, we're in rapid growth mode. We've hired 60 people in the last 60 days. We've got 60 job openings on our website and our LinkedIn right now for great people. Every department is going through this transformational phase and we've done that each and every year as we continue to scale through systems. We're currently looking at additional systems to help meet the future demand. You look at the transformation of the operations team; creating a logistics department, a production department, an inventory management department; moving our warehouses from two warehouses, which we just did in the third quarter of this year and to six warehouses. They are all third-party contractor warehouses. But that's going to allow us to buy -- service our customers better; reduce our shipping cost, optimize our networks, also our co-packing network went from 1 to 4 to 3 and now we're at 13 talking to several others in the future and we can definitely meet demand and capacity with the networks, suppliers, redundancy on suppliers.

When you look to the accounting team, we just upgraded our accounts to Ernst and Young with the third quarter. We have an ESG platform now we continue to work on. We announced that our Annual Shareholder Meeting in August. If you look at addition, the Board of Directors, we added more independents on our Board. We've expanded our Board expertise in the areas of accounting and auditing and HR as well as Investor Relations. And also we have (inaudible) as well as on our Board of Directors, who is prior President of (inaudible) North America. So, I think a lot of great capability and independence in the accounting department finance problem as well. I mean we continue to transform this company.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Kevin, I think this is absolutely right. I think it's having and making sure that we have the right infrastructure, whether it's people systems processes to be able to service;

there is growth, both internally and externally. And that's what we're doing constantly are to valuating that and making sure again that we have -- as John calls the the right people at the right seat in the bus, that kind of thing and that we continue to invest to make sure again that we have that correct infrastructure while still maintaining a balance in terms of our cost control.

John Fieldly {BIO 17560616 <GO>}

And profitability. They are in the sales organization. We've built out -- we're building out a sales distribution management team, but 72 is too strong right now be over 100 by the end of the year. We're putting in systems so we can manage our distributors more effectively, being able to find the gaps -- the out-of-stock situations to make sure the fill rates and we have a big cooler investment we're making. We want to make sure those coolers are optimized. We're able to see that through data of the inventory level. So, those are great CRM systems we're putting in place. So, we got a lot of good things in the works and it's exciting times here.

Kevin Grundy {BIO 16423871 <GO>}

Before we move on from that -- that's helpful guys. Thank you, both. Before we move on from that just because the growth has been so impressive, sometimes the fear with growth stories says it's not just straight up into the right, so to speak. So can you speak to the systems that you have in place and your visibility on that? Do you both feel very comfortable with your visibility, whether this is from a sales perspective, distributor inventory levels, et cetera? Do you feel like you have the kind of visibility that you need to run the business with precision, number one? And then number two, relatedly, how have you generally performed relative to plan? I know you don't guide for the street externally -- internally and this sort of speaks to that visibility. How are you generally performing relative to plan?

John Fieldly {BIO 17560616 <GO>}

We have demand planning that takes place. We're constantly forecasting. You're seeing a lot of variations in our flavors in regards to the performance of them in certain regions and as we continue to scale. We're keeping a very close eye on that. When we look at our inventory levels, about \$122 million in inventory of which \$80 million was associated with finished goods. We did bring up our inventories to move to this orbit model quickly. We have raw materials invested in cans. It is a limited can supply, which now -- we're able to get some more US cans with long contracts for 2022. We're putting redundancies and flavors and some of our raw material input costs.

And then when you look at our -- I mean our distributors, I mean they are the best -- some of the best distributors in the business. Mainly Anheuser-Busch Network is who we are partnered with from big guys are down the norms and Southern Cal as well. So these distributors know how to move volume, are capable of moving volume, and it's really us managing that. Moving that six orbit, we will be able to deliver more quickly, keep them more in stock and drive some more top line revenue from the last levels.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

We also utilized KPIs and so forth to monitor business even starting with like (inaudible) adequate credit limits based on DSOs, monitoring based on hands of inventory but not only looking back but more importantly looking forward, and again with the challenges that we've had in the supply chain, making sure that there is sufficient safety stock as well to properly service the demand. So, all those things are on the radar.

John Fieldly {BIO 17560616 <GO>}

I think when you look at how much visibility do we have or have much control and how much management oversight we have in the business, I think for an organization like ourselves to thrive through the last, call it, 12 months, through an industry that was totally flipped upside down, supply chains flipped upside down. We not only survived. If you go back to several quarters, we thrived. So, we've restructured the teams. We've immediately pivoted, created task force. We did a variety of different strategies that we just did to take advantage of opportunities that were brought to us, and that's one thing as an organization. We're always (inaudible) right? We got an out maneuver and not execute and really drive this brand for it. So that's hats off to the team here. We have one of the most -- I'd like to say the most dedicated teams in the industry, extremely passionate and executing extremely well.

Kevin Grundy {BIO 16423871 <GO>}

That's great, John. Let me pick up on the improvement in the company's distribution. It's been important to the company's success. You guys have done a great job; built a brand, you and your team with getting that Anheuser-Busch distributor focus behind it. Of course, we know for contact they help build a monster brand. Before that, it was completely flipped to the Coke system, help build the bank brand before that was taken out by the Pepsi system, and now it seems to be a lot of focus within that system the behind Celsius brand as well.

Maybe just provide an update on where you are in that process, how many accounts have been put over to DSD at this point, and what ultimately where -- what the target is for the company.

John Fieldly {BIO 17560616 <GO>}

Yeah. We have seen the power of the DSD. We saw in starting to transition in Q1. We've seen continued momentum in Q2 and Q3 continues. We're just getting started with the power of our DSD partners. By no means, are we optimized. I think we will probably be more optimized in the back half of Q1 and Q2. We're working on flipping as many accounts over as possible. It does take time. It's not as easy as clicking a switch. There is a lot involved. If you look at the current (inaudible) data, we have about 68% of our stores we foresee that our service currently by DSD. So lots of opportunity to continue to transition over from direct-to-retail or wholesale to DSD. We do see velocities increase exponentially when going into DSD. Just better in-

stock rates, better placements, keeping us cold. So if you are cold, you are sold. That's the name of the game in the beverage industry, and that's where the DSD comes in that white glove service.

So, we're excited about that. Overlaying it with our sales support, our systems, we feel we're just getting started. Some of the growth rates we're seeing some of these distributors. It's just really overwhelming and they're getting us into those stores that we couldn't service before because it wasn't cost effective. The stores that can only take two or three cases a week or something along those lines, but it's all about those additional impressions as you continue to activate these markets. So, you're seeing us at CBS [ph]. You're seeing us at Seven-Eleven. You're seeing us at 24-hour Equinox Gold Gyms. You're seeing us at the lunch counter when you're picking up your lunch. It's all of those incremental impressions, which is expanding the usage occasion for Celsius. So, that's driving these overall velocities in DSD and that's really brand building. It's going deep in the market and gaining additional noise you gave in last season in those core markets, which makes your marketing dollars work that much better, more effectively as well. So, those are things we're working on. I think we're just in the early stages here (inaudible) to share in the category according to the Nielsen data. So, whether we are shared growth on Amazon about a little over 18, we got a long runway ahead of us. So that keeps us really excited.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Help optimize some of these retailers, even the ones that we're in. Like John said, having better placement, perhaps having more SKUs, getting to that cold space; those are the key drivers there that you or the execution that we need to continue with this growth.

Kevin Grundy {BIO 16423871 <GO>}

Let me ask you both a question. Thank you guys. Just comment on where your ACV is now. You are certainly under-indexed in convenience and gas, which remains the most important channel for the energy drink category. So that's a huge opportunity for sure. What does the trajectory look like in terms of when that ACV gap really closes materially against the category? Maybe this is a quantitative audience, just put some numbers on that. Where do you expect the ACV to go and over what period of time? And then maybe just comment on velocity. And just for background, there, if I'm not mistaken, your velocity has recently surpassed banks of credits to you guys into the distributors, which is fantastic. Any reason to think that velocity can surpass the incumbents?

John Fieldly {BIO 17560616 <GO>}

It's a great question. I think that's what gets us excited to come to work every day. It is the opportunity and that's our hand. You've seen our velocity numbers, but we don't have as many SKUs on the shelf. So when you talk about the number of flavors on shelf or items, we're definitely -- the opportunity is there. I think time will tell. We'll see how this goes forward. But the data is extremely strong and exciting. I mean, you look at the ACV, we are around 50% -- little less than 50% ACV altogether. And then

next ACV that goes, the opportunity is convenience. That's where we are lowest indexed, right around 37%. And as we all know historically those have been the most productive stores. So what's interesting is what we're doing at Celsius is, I guess very unique and it could be as you mentioned due to our legacy of being around for 10 years, but we're kind of back dooring the energy category.

So, we've expanded into and really by demand specialty in gyms, but expanded into grocery, drug, and most recently Costco. It has been phenomenal at Costco. It was demonstrated in our third quarter. It is just popping up overnight as a 10% customer, which is extremely impressive, the velocity going through there. And now, we're going after the energy category in the convenience space where we've seen great velocities just in general, 7-11 and racetracks in QTs and some of our expansion into Speedway and those who like. That's what is -- that's where the, I mean the DSD gets to see a great excitement as well. In that channel, you have to have the power of DSD. It's just too competitive. It's a street war every day. If you are not muscling yourselves in, you're just going to get muscled out. But the velocity is that's something to be excited about and I think that goes to where the opportunity when you see the Amazon data and an 18 share; we are currently on a two share. So, we'll see how this continues to grow as we move forward and the team continues to execute and activate this DSD network and the new doors that come on hopefully in the next resets.

Kevin Grundy {BIO 16423871 <GO>}

John -- I want to come back to the resets in a moment. Bank's [ph] exponential growth really happened over a couple of year period, particularly when they enhanced their distribution. Is there any reason that there cannot be a reasonable expectation that Celsius within that time frame see several ways of exponential growth? I mean to put numbers around it, it kind of came out of left field, came up in the fitness channel, similar to how Celsius did and reached 7% to 8% market share. Once upon a time, there was an ambition for that brand to reach 15% market share, which never materialized. But, is it not a reasonable expectation that Celsius could see that sort of uplift from 2% share now to track channels where you see 7% to 8% over the next 12 to 24 months?

John Fieldly {BIO 17560616 <GO>}

Yeah, we don't provide any forward guidance. But based on the growth rate from one share to two share, we went that one fairly quickly. It's a different time, it's a different date. There are always these different dynamics at play within the category. So, I don't want to put a line in the sand in 24 months, but we're going to work as hard as we can here. We do see the massive opportunity. We know now is the time to strike. So, that's where you're seeing the company is over investing. People, power, resources, systems, talk about infrastructure, we're not building this company for just a few share points. I'll tell you that. I mean we are looking at a major opportunity on the hands and how quickly we can get there. We will get there as quickly as we can. I assure you on that. The team is really excited. Like I said, the opportunity is there with what you see the share on with Amazon, and we think that's

relatively relative to the overall immediate opportunity or the next hurdle we need to get to and that's what we're executing against.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

To me, again the key is going to be leveraging the DSD network. I don't know, from my perspective, that's hopefully going to turn into like a snowball effect, like anything and continue to drive growth.

Kevin Grundy {BIO 16423871 <GO>}

Got it. Let's spend a moment on your online strategy and the strength of this brand to pad on Amazon. I think most folks that are new to the story, when they first pick it up and they see your market share, which is a little south of 20% on Amazon, it's surprising. I mean a credit to you guys. It's remarkable that you have the kind of share that you do, second only to Monster, ahead of Red Bull, close to Red Bull. Just maybe spend some time on how you're able to build such strong momentum on Amazon. Provide some -- the origins behind that, your ability to drive that kind of market share and more broadly your online strategy.

John Fieldly {BIO 17560616 <GO>}

I think what's even more fascinating and maybe if you look at that, you're like "wow, that's pretty interesting." That's just a shy of 20% on Amazon. I think what's fascinating is if you've been tracking the story, as we've been continually able to grow share, while our store count has more than doubled. I mean even furthered than over the last two years. So, we've added more expansion, more stores, more availability in other channels, but yet continue to grow within that as well as many other e-com platforms. That's what is really astonishing to us. To be honest with you, we were sure that we were going to -- you start to level out when you're availability continues to grow, but we're still seeing great opportunities there. (Technical Difficulty) everything is one click away. If you're not one click away, you're too far away and that's the reality of the whole thing these days. From Amazon to Wal Mart to your shopping apps or Instacarts, your -- every retailer has their own platforms. Right? I mean it's important to be -- we need to be where the consumer is and where they want to purchase at the point of purchase. So that's what we're working to. That's why we're trying to get as much cold placement as we can.

But in regards to our Amazon strategy, I mean it just shows you the opportunity and the brand resonates with a loyal consumer base. We're connecting with consumers in a meaningful way. They can't find it in the stores they want. So, they're going to Amazon and buying it even though our Nielsen data has us growing at over 200% clip -- growth rate. So, I think that shows you the opportunity that we have here and we're looking at when you see that. If you're not on Amazon then you're pretty much not relevant these days, I guess. That's of major importance. But in regards to strategies, it's nothing. We're not doing anything special there, I would say.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah, but what's amazing John and again emphasizing that is that the growth that we've seen on Amazon in the market share and then to your point and then Costco pops up, as well as a major account with over 10% revenue. Again, that's -- like John mentioned, astonishing from our perspectives.

John Fieldly {BIO 17560616 <GO>}

And, keep in mind, Costco report. As you know, Kevin, I think the data you're referencing still shows the growth there, so even that's not diminishing some of the velocity we're seeing in scanned [ph] data.

Kevin Grundy {BIO 16423871 <GO>}

Have you guys been surprised by the level of velocity improvement that's the switch to DSD because that may not be intuitive to someone picking up the story as well (inaudible) they are on (inaudible) down. There is a big focus. We expect to see the distribution, but the velocity has improved quite remarkably as well. Has that been in line with your expectations or has it surpassed?

John Fieldly {BIO 17560616 <GO>}

It's funny. You talk to a lot of brands, you talk to a lot of individuals. In some brands, the DSD doesn't always work out. They just don't have the velocity. They go DSD initially maybe and just they go back to wholesale, they go back to direct, or they are directly a wholesaler and then they go DSD. It just doesn't work. Certain brands work within the DSD system. Celsius has been able to perform extremely well. We've been testing and talk about knowing the business, knowing the velocity, understanding the key drivers. I mean we've been analyzing this as we continue to take 1 step, 2 step, 3 step further. It's demonstrated in the 429% growth in DSD that we in an Q3 and it's working -- so Celsius warrants more shelf space. Consumers want it. We have key examples of our high rotation where the brand is performing extremely well. So now you've met a perfect -- really a perfect alignment because the DSD network is not built for slow velocity products. They are built to move high volumes fast. They're not there to move a case or two in dropbox. They are in there to move pallets. They're in there to move truck loads. That's how they're set up. So, not every brand is able to do that, especially not every brand in certain categories. So that's been. And keep in mind as an independent brand as well, you're going against, especially in our network, a lot of competition. I mean you got the -- as you mentioned Seltzer. -- Seltzers, Michelob Ultra Seltzers. There are regular products. In order to get attention, you have to be able to turn. You have to be able to get their attention in and Celsius is able to make money form. So that's a win-win situation.

Kevin Grundy {BIO 16423871 <GO>}

John, just to build on that bringing up Seltzers, my take on this is, this fortuitous for you guys and that might -- and the reason I say that is just that proverbial mindshare and focus and push from the AB distributors because hard Seltzers were rocket here for the past several years until we hit a brick wall. So now, as a consequence of that go into north of 200% and 175%. So this should be obtained. There is a debate next

year, whether it's going to grow at all and we'll see. So given that, in my humble opinion it lends itself to greater push, greater focus from your distributors. This is it for a key growth engine for them in the upcoming year. Is that something that you can subscribe to? Does that make sense?

John Fieldly {BIO 17560616 <GO>}

I think absolutely that makes sense. We're seeing that with a lot of our distributors. I mean they're bringing on more NA products, which also creates more competition for us in those houses per share (inaudible). So, we're not the only energy drink in these houses. You're seeing a lot of new brands come in and try to get share of mind in those things and at the end of the day, the brand that rotate went rotates wins and we are one of the fastest rotator. So I mean at this point. It's well but you're seeing differentiate themselves and looking into the opportunities and NAs and -- that should. Some of them were even building NA teams, which ultimately should help us as well because now you're getting more focus within their NA [ph] portfolios and these distributors need to optimize and align with today's consumers and leverage their infrastructure and their resources to within their business models. The NA portfolio allows them to do that.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

And that's what I was going to say. Whenever there is a void, the distributors they have to make up for that revenue. As John mentioned, then you have to capitalize on that or that's where we should come in and capitalize on those.

John Fieldly {BIO 17560616 <GO>}

And that's what's great about Celsius. If you look at us and we're very complementary to some other beverages, especially premium water. So a lot of these houses have a premium water offering or hydration product and Celsius is extremely complementary on that. So we're seeing consumers by Celsius, buy water, buy hydration offering as well. So, it is incremental to their overall sale and their job. So, it's just another reason for them to sell more Celsius.

Kevin Grundy {BIO 16423871 <GO>}

Got it. We have a little more than five minutes and I'd like to cover margins. I want to cover pricing and I want to cover international. Hope we can make that happen. So first of all, on margins Edwin for you. Maybe just comment on what you're currently seeing from a supply chain perspective, building up the third quarter call (inaudible) inventory days in order to put the company in a better position so you can meet the rapid supply or growth that you're seeing. Maybe just expectations on supply chain over the next 12 months here.

John Fieldly {BIO 17560616 <GO>}

We had to again make a decision to bring cans internationally, obviously that has an impact on cost versus the domestic. So to me going forward, it's more going to be

that mix of how those can cycle in. We're still bringing some of those are cans and there are challenges everybody knows that in terms of the supply chain.

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

In terms of the supply chain. So again, when those cans go through the system, I'm thinking for the next several quarters we're still going to see the impact on that going forward.

John Fieldly {BIO 17560616 <GO>}

Absolutely. We talked about on our earnings call. We've identified about a 7.5% margin impact currently due to transient cost, import cost of cans, as well as the inefficiencies in our freight models going from two warehouses to our six-orbit model. So, it is something that companies have to deal with.

Kevin Grundy {BIO 16423871 <GO>}

Let me ask you a longer-term question guys. If you're able to execute on the top-line and scale this business and become a \$1 billion run-rate company in the not so distant future, and I think the market has high expectation that that is going to happen. So with that, where do EBITDA margins go over time? Just broadly -- and I guess maybe answer it this way, is there anything structural that you point out to investors that this business cannot become a 35% EBITDA margin business, similar to Monster.

John Fieldly {BIO 17560616 <GO>}

We never provided forward-looking guidance, 35% upon ultimate scale. In the environment, it is plausible. We are similar. We will have to -- Monster has done a lot of great things to get that 35% contribution there. I think we can follow in a similar path. Timing and sequencing will be key in the environment, the opportunity to bring in some raw materials internally, manufacturing those type of things, and it's really fully leveraged that. So, that is an opportunity to go.

Kevin Grundy {BIO 16423871 <GO>}

Okay, that's helpful. On the pricing front and there has not been a lot of it in the energy drink category historically and I think investors that follow the space or invest in this space are aware of the background where Monster led in 2018 and 2019 and Red Bull didn't follow, and now we're seeing some of the worst commodity costs and supply chain inflation that we've seen in a very long time. And yet, neither one of them is moving. What is your take on whether the incumbents will move from a pricing perspective? I suspect that 2% market share of the growth has been fantastic. We're probably not in a position where Celsius would look to lead. How do you see the pricing playing out here in the category?

John Fieldly {BIO 17560616 <GO>}

When you look at it, I think everyone has been taking price, so just no one's raising their hand and saying "I'm taking frontline price." But if you look at the scans within the category, your average retail -- on a retail basis, I mean everyone is optimizing promotional strategies and organically increasing price. They're just not increasing that frontline and raising their hands, but look at the data, everyone is taking it. We're doing no other. If you look at our average scan at the register, it is increased anywhere between 4% to 9%, I think on the latest data and the growth rate that we're seeing still continues. So, we've done that aggressively as well, optimized our promotional strategy, and we're able to see in regards to -- I think we have further leverage there as we continue to grow, being a premium offering in the category when you look at that. Here, we'll see what the rest of the category does. Celsius will not be a leader on the front line component, but in general the category, everyone is taking price in every category.

Kevin Grundy {BIO 16423871 <GO>}

And John, would you care to opine on whether you think the incumbents will move on frontline or rate pricing or you rather avoid that?

John Fieldly {BIO 17560616 <GO>}

I have no control. I can only control what I can control. So, we're watching closely and I'm sure --

Kevin Grundy {BIO 16423871 <GO>}

We will see. I did want to ask you about your international business. Clearly, the company's ability to succeed in the US will be critical, I would say from an investors' perspective and from your perspective in terms of the success over the next 3 to 5 years. But what may be under-appreciated is the potential for this brand internationally. And then interestingly, those two things are not mutually exclusive because the degree of success that you have in the US can certainly bode well for larger distributors' interest in this brand, particularly in Western Europe. Maybe just we have about a minute left here, so sorry for the big wind up. Maybe just comment on the potential for this brand internationally and what you really need to see from a distribution perspective to get this international business going.

John Fieldly {BIO 17560616 <GO>}

Great question. When you look at it, the world is smaller now than ever before and the success in the US is a continued success. We have over nine shares. I don't know, many of you might not know; a nine share in the energy category in Sweden. We've gained further distribution in Norway as well as Finland. So, we're talking to some opportunities we just launched on Amazon in the UK as well as Germany. So that's just getting in. I think the tons of opportunity -- you're right, the opportunity in global is huge for us. We have a full team that's based out of the Nordics, being able and capable. We have distribution. So, I think the opportunity is definitely real and it's going to be exciting on the way for future; not only the Western Europe, but you look at Asia, opportunity is there as well. When you look at the opportunities in

China, you look at Southeast Asia, look at South Korea, we just answered as well as Australia, a variety of markets. These health and wellness trends are not just in the US. These are global trends. And like I said, the world is so small now. It's amazing. And the way you can communicate with everyone, with consumers --

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

And to me -- just very quickly, the opportunity is there. I absolutely agree on that. It's more than executing and following what we've done so far, hopefully establishing relationships with good partners, master distributors in some of these countries where, therefore, you don't have to go and set up a legal entity and have all the stress, the inventory risk, accounts receivable risk, and you simply serve that market by invoicing US dollars, that kind of thing and limit your footprint.

John Fieldly {BIO 17560616 <GO>}

Timing and sequencing ski, right? Making sure you have the right setup. We don't want to lose focus on the opportunity in North America and that's really where the team is focused as well as European expansion opportunities through our team and the proper structure is key. We don't cause too much (inaudible) business model through the system.

Kevin Grundy {BIO 16423871 <GO>}

All high-class problems gentlemen, All high-class problems. We'll leave it there. We're out of time. We went a minute over. I apologize for that. But thank you guys very much for joining us. Continued success and thank you everyone for listening in today. We appreciate it. Have a great evening everyone.

John Fieldly {BIO 17560616 <GO>}

Thank you.

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